



THE CAR & GENERAL GROUP OF COMPANIES

UNAUDITED INTERIM REPORT

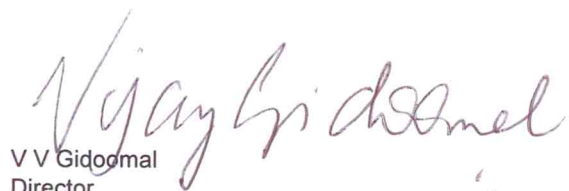
FOR THE SIX MONTHS ENDED 31 MARCH 2012

**CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
FOR THE SIX MONTHS ENDED 31 MARCH 2012**

	6 Months to 31 March 2012 Sh '000	6 Months to 31 March 2011 Sh '000	At 30-Sep-2011 Sh '000
Turnover	2,787,764	2,764,696	6,086,106
Cost of sales	(2,256,936)	(2,269,020)	(5,017,506)
Gross profit	530,828	495,676	1,068,600
Other operating income	7,198	3,753	17,593
Gain in fair value of investment property	-	-	292,578
Gain on disposal of a subsidiary, Premier Power Equipment & Products Private Limited	108,908	-	-
Selling and distribution costs	(159,050)	(153,709)	(311,339)
Administration expenses	(176,415)	(161,164)	(447,876)
Interest expense	(142,923)	(75,048)	(186,652)
Net exchange losses	(5,073)	(3,263)	(4,978)
Profit before taxation	163,473	106,245	427,926
Taxation charge	(20,770)	(33,506)	(139,220)
Profit for the period	142,703	72,739	288,706
Other comprehensive income:			
Revaluation surplus on property	-	-	79,650
Deferred tax on revaluation surplus	-	-	(23,895)
Exchange difference arising on translation of foreign operations	(46,080)	11,071	27,430
	(46,080)	11,071	83,185
Total comprehensive income for the period	96,623	83,810	371,891
Profit for the period attributable to:			
Owners of the parent	142,847	72,745	260,204
Non-controlling interests	(144)	(6)	28,502
	142,703	72,739	288,706
Total comprehensive income attributable to:			
Owners of the parent	96,767	83,816	343,389
Non-controlling interests	(144)	(6)	28,502
	96,623	83,810	371,891
	Sh	Sh	Sh
Earnings per share - basic and diluted	4.27	2.18	7.78

**CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AT 31 MARCH 2012**

	At 31-Mar-2012 Sh '000	At 31-Mar-2011 Sh '000	At 30-Sep-2011 Sh '000
ASSETS			
Non-current assets			
Investment property	1,405,750	659,720	1,405,750
Property, plant and equipment	615,718	517,629	644,616
Operating lease prepayments	14,428	14,776	14,602
Intangible assets	2,934	3,899	3,511
Deferred tax asset	9,734	6,917	5,770
	<u>2,048,564</u>	<u>1,202,941</u>	<u>2,074,249</u>
Current assets			
Inventories	1,896,745	1,954,414	2,290,769
Trade and other receivables	996,488	934,477	971,035
Taxation recoverable	20,532	27,910	28,697
Cash and bank balances	123,198	155,425	197,489
	<u>3,036,963</u>	<u>3,072,226</u>	<u>3,487,990</u>
Total assets	<u>5,085,527</u>	<u>4,275,167</u>	<u>5,562,239</u>
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	167,097	167,097	167,097
Revaluation surplus	256,430	204,143	256,430
Revenue reserve	1,555,090	1,239,697	1,430,624
Translation (deficit)/reserve	(37,902)	(8,181)	8,178
Equity attributable to owners of the parent	<u>1,940,715</u>	<u>1,602,756</u>	<u>1,862,329</u>
Non-controlling interests	<u>36,519</u>	<u>19,136</u>	<u>57,993</u>
Total equity	<u>1,977,234</u>	<u>1,621,892</u>	<u>1,920,322</u>
Non-current liabilities			
Deferred tax liabilities	333,667	223,559	327,519
Borrowings	208,809	9,185	209,151
	<u>542,476</u>	<u>232,744</u>	<u>536,670</u>
Current liabilities			
Borrowings	1,425,158	1,431,218	1,678,310
Trade and other payables	1,128,973	989,313	1,424,065
Taxation payable	11,686	-	2,872
	<u>2,565,817</u>	<u>2,420,531</u>	<u>3,105,247</u>
Total equity and liabilities	<u>5,085,527</u>	<u>4,275,167</u>	<u>5,562,239</u>



V V Gidoomal
Director



E M Grayson
Director

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
At 31 MARCH 2012

	Share capital	Revaluation surplus	Revenue reserve	Translation (deficit)/ reserve	Attributable to owners of the parent	Non- controlling interests	Total
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
6 Months to 31 March 2011							
At 1 October 2010	111,398	204,143	1,240,475	(19,252)	1,536,764	19,142	1,555,906
Profit for the period	-	-	72,745	-	72,745	(6)	72,739
Exchange difference arising on translation of foreign operations	-	-	-	11,071	11,071	-	11,071
Total comprehensive income	-	-	72,745	11,071	83,816	(6)	83,810
Issue of bonus shares	55,699	-	(55,699)	-	-	-	-
Dividend paid – 2010	-	-	(17,824)	-	(17,824)	-	(17,824)
At 31 March 2011	167,097	204,143	1,239,697	(8,181)	1,602,756	19,136	1,621,892
6 Months to 30 September 2011							
At 1 April 2011	167,097	204,143	1,239,697	(8,181)	1,602,756	19,136	1,621,892
Profit for the period	-	-	187,459	-	187,459	28,508	215,967
Revaluation surplus on property	-	79,650	-	-	79,650	-	79,650
Deferred tax on revaluation surplus	-	(23,895)	-	-	(23,895)	-	(23,895)
Exchange difference arising on translation of foreign operations	-	-	-	16,359	16,359	-	16,359
Total comprehensive income	-	55,755	187,459	16,359	259,573	28,508	288,081
Transfer of excess depreciation	-	(4,955)	4,955	-	-	-	-
Deferred tax on excess depreciation transfer	-	1,487	(1,487)	-	-	-	-
Non-controlling interests in subsidiary	-	-	-	-	-	10,349	10,349
At 30 September 2011	167,097	256,430	1,430,624	8,178	1,862,329	57,993	1,920,322
6 Months to 31 March 2012							
At 1 October 2011	167,097	256,430	1,430,624	8,178	1,862,329	57,993	1,920,322
Profit for the period	-	-	142,847	-	142,847	(144)	142,703
Exchange difference arising on translation of foreign operations	-	-	-	(46,080)	(46,080)	-	(46,080)
Total comprehensive income	-	-	142,847	(46,080)	96,767	(144)	96,623
Non-controlling interests on disposal of a subsidiary	-	-	-	-	-	(21,330)	(21,330)
Dividend paid – 2011	-	-	(18,381)	-	(18,381)	-	(18,381)
At 31 March 2012	167,097	256,430	1,555,090	(37,902)	1,940,715	36,519	1,977,234

**CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE SIX MONTHS ENDED 31 MARCH 2012**

	6 Months to 31 March 2012 Sh '000	6 Months to 31 March 2011 Sh '000	12 Months to 30 Sep-2011 Sh '000
Cash flows from operating activities			
Cash generated from/(used in) operations	217,760	(56,871)	168,761
Tax paid	(3,532)	(69,841)	(92,187)
Net cash generated from/(used in) operating activities	214,228	(126,712)	76,574
Cash flows from investing activities			
Purchase of investment properties	-	-	(453,452)
Purchase of property, plant and equipment	(68,913)	(34,277)	(88,054)
Purchase of intangible assets	(18)	(277)	(993)
Proceeds on disposal of property, plant and equipment	6,845	337	3,503
Net cash inflow on disposal of a subsidiary, Premier Power Equipment & Products Private Limited	158,917	-	-
Net cash generated from/(used in) investing activities	96,831	(34,217)	(538,996)
Cash flows from financing activities			
Net loans (repaid)/received	(290,978)	292,048	751,035
Dividend paid	(18,381)	(17,824)	(17,824)
Interest paid	(142,923)	(75,048)	(186,652)
Repayment of hire-purchase finance	(1,945)	(2,150)	(12,818)
Cash brought in by non-controlling interests	-	-	10,349
Net cash (used in)/generated from financing activities	(454,227)	197,026	544,090
(Decrease)/increase in cash and cash equivalents	(143,168)	36,097	81,668
Cash and cash equivalents at the beginning of the period	151,188	76,476	76,476
Effects of exchange rate changes on the balance of cash held in foreign operations	(7,643)	(776)	(6,956)
Cash and cash equivalents at the end of the period	377	111,797	151,188

NOTES TO THE STATEMENT OF CASH FLOWS

	6 Months to 31 March 2012 Sh '000	6 Months to 31 March 2011 Sh '000	At 30-Sep-2011 Sh '000
Reconciliation of profit before tax to cash generated from operations			
Profit before tax	163,473	106,245	427,926
Adjustments for:			
Depreciation on property, plant and equipment	23,175	20,623	46,933
Leasehold land amortisation	77	45	146
Fair value gains on investment properties	-	-	(292,578)
Gain on disposal of a subsidiary	(108,908)	-	-
Gain on disposal of property and equipment	(1,471)	(79)	(1,006)
Intangible assets amortisation	367	375	834
Interest expense	142,923	75,048	186,652
Exchange translation on opening reserves	(4,162)	15,890	16,862
Property and equipment written off	-	-	104
Exchange adjustment on borrowings	(17,081)	(2,088)	(6,022)
Adjusted profit before working capital changes	198,393	216,059	379,851
Decrease/(increase) in inventories	333,279	(259,870)	(596,225)
Increase in trade and other receivables	(38,173)	(72,107)	(108,665)
(Decrease)/increase in trade and other payables	(275,739)	59,047	493,800
Cash generated from/(used in) operations	217,760	(56,871)	168,761
Analysis of changes in borrowings:			
At the beginning of the year	1,841,160	1,108,965	1,108,965
Loans received	1,846,057	1,730,927	1,863,143
Repayments	(2,137,035)	(1,438,879)	(1,112,108)
Loan eliminated on disposal of a subsidiary	(20,010)	-	-
Hire purchase facility repaid	(1,945)	(2,150)	(12,818)
Exchange rate adjustments	(17,081)	(2,088)	(6,022)
At the end of the period	1,511,146	1,396,775	1,841,160
Analysis of hire-purchase by cash flow:			
Financing at beginning of the year	2,816	15,634	15,634
Loans repaid in the year	(1,945)	(2,150)	(12,818)
At the end of the period.	871	13,484	2,816

NOTES TO THE STATEMENT OF CASH FLOWS (continued)

Cash and cash equivalents:

For the purposes of the statement of cash flows, cash and cash equivalents at period end comprise the following:

	6 Months to 31 March 2012	6 Months to 31 March 2011	At 30-Sep-2011
	Sh '000	Sh '000	Sh '000
Cash and bank balances	123,198	155,425	197,489
Bank overdrafts	(122,821)	(43,628)	(46,301)
At the end of the period.	377	111,797	151,188



Half-year results commentary – 31 March 2012

Car & General (Kenya) Limited – Interim results 31 March 2012-05-28

As mentioned in the Chairman's Statement, trading conditions are extremely challenging given high interest rates and exchange rate volatility. The exchange rate to the dollar peaked at Kshs 107 and interest rates have risen to 25% per annum. There is no question that consumption has dropped in key segments of our business. Turnover for 6 months, at 2.8 billion, was at a similar level to the previous year. Profitability, at Kshs 162 million, was 50% higher. Profits were lifted by the sale of Premier Power Products in India and depressed by unrealized foreign exchange losses on intercompany balances. In addition, our businesses in Uganda and Tanzania performed poorly. Management has implemented a cost restructuring program to drive business efficiencies.

Going forward, challenging conditions are likely to prevail throughout the second half of the year. We will continue to implement the marketing and efficiency strategy in spite of incurring additional costs. This will certainly strengthen market positions for the future. However, we remain concerned over the short term outlook due to the uncertainties and volatility of interest and exchange rates in the current environment.